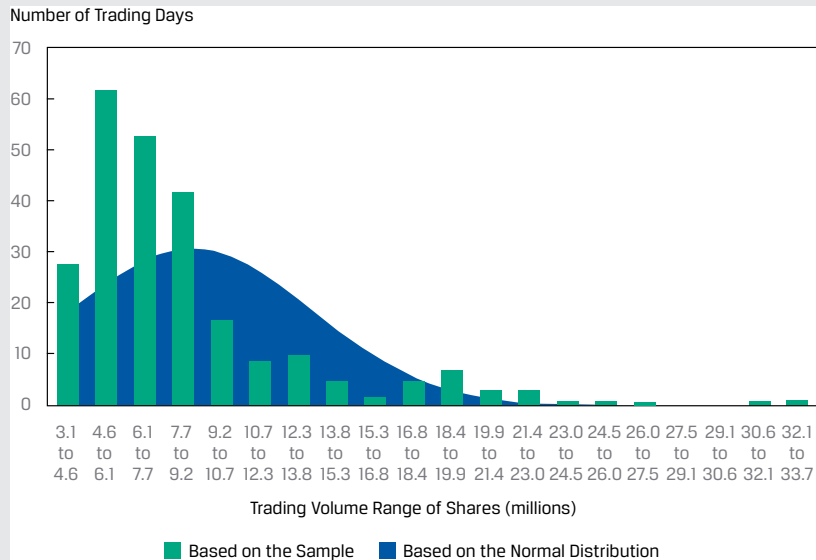


Exhibit 22: Histogram of Daily Trading Volume for a Stock for One Year



1. Would the distribution be characterized as being skewed? If so, what could account for this situation?

Solution:

The distribution appears to be skewed to the right, or positively skewed. This is likely due to: (1) no possible negative trading volume on a given trading day, so the distribution is truncated at zero; and (2) greater-than-typical trading occurring relatively infrequently, such as when there are company-specific announcements.

The actual skewness for this distribution is 2.1090, which supports this interpretation.

2. Does the distribution displays kurtosis? Explain.

Solution:

The distribution appears to have excess kurtosis, with a right-side fat tail and with maximum shares traded in the 4.6 to 6.1 million range, exceeding what is expected if the distribution was normally distributed. There are also fewer observations than expected between the central region and the tail.

The actual excess kurtosis for this distribution is 5.2151, which supports this interpretation.

QUESTION SET



1. An analyst calculates the excess kurtosis of a stock's returns as -0.75 . From this information, the analyst should conclude that the distribution of returns is:
 - A. normally distributed.
 - B. fat-tailed compared to the normal distribution.